



Trimester Report

TLD-ACE
9/20/2006



Agenda

- ◆ TLD-ACE 2006 YTD financial performance
- ◆ Our Production Challenge
- ◆ Lost Opportunity
- ◆ Recent Wins
- ◆ ACE-302 demands
- ◆ TLD Group info
- ◆ New Product Development Status
- ◆ Key Quality issue
- ◆ Employee Incentive Plan Status
- ◆ Conclusion

TLD-ACE 2006 YTD financial performance



- ◆ \$34M YTD Aug sales against a budget of \$25M
- ◆ Operating Profit is also ahead of the budget
- ◆ May is still our record month of sales at \$5.4 M
- ◆ July and August were excellent summer months at 3.8M each
 - Effective Outsourcing, increased Commonality, Galvanizing, and Great Attitudes are among the things that got us there.
- ◆ However our Backlog is extremely high at \$18M
 - We are still behind schedule with many customers
 - Nearly 20% of units planned for Sept, are August or earlier requirements
- ◆ ***It means our production rate must increase.....***

TLD-ACE

The Production Challenge



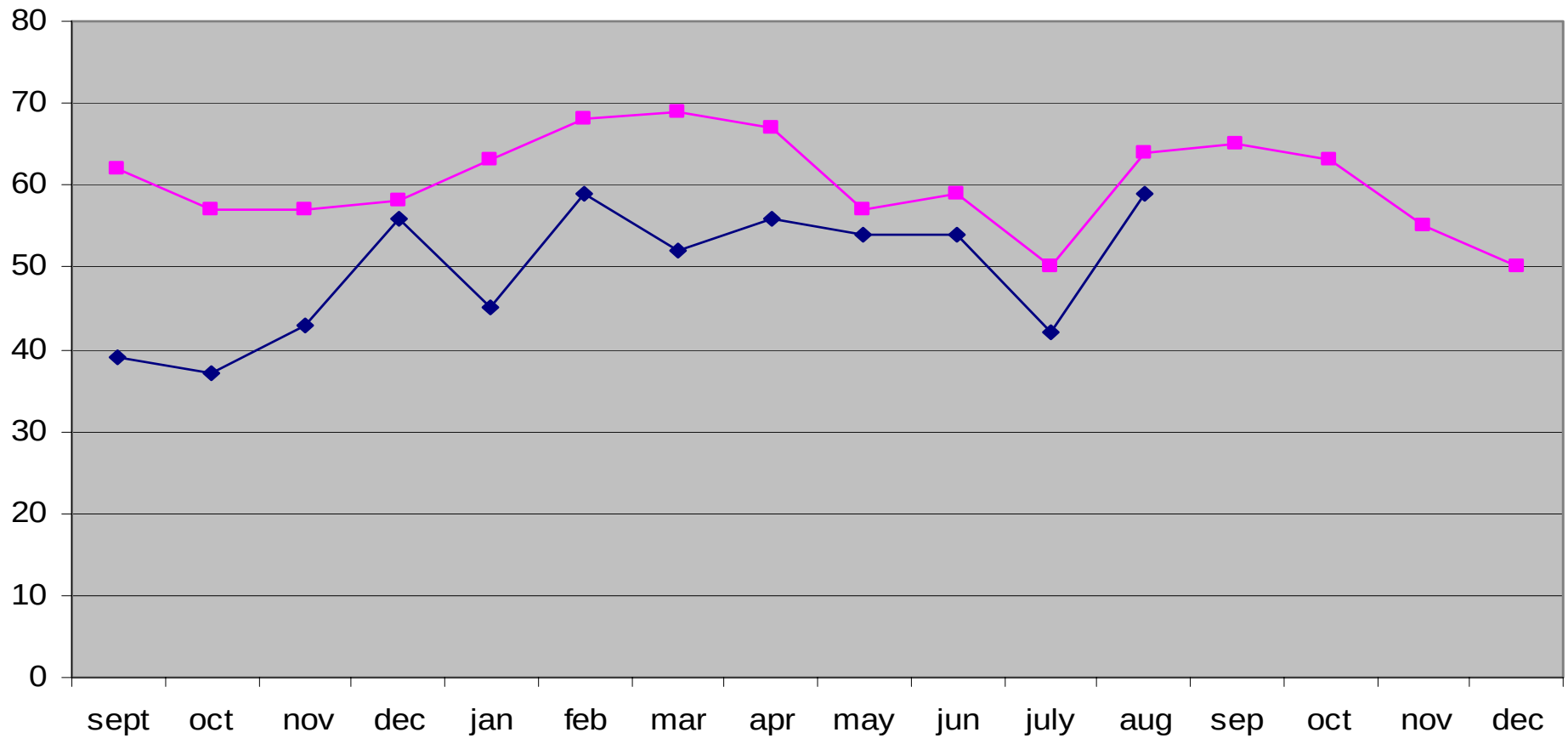
- ◆ *...We all know that the biggest “Dial “ we have on the production rate is the “flow” of parts into the factory*
- ◆ *We know this is not perfect yet. It only takes a few missing parts to stop the line and it doesnt matter how many hundreds of others are on time*
- ◆ *But don’t forget the great strides that have been made in the last year*
- ◆ *We could not be at this tremendous level of sales without the effort of our Materials department.*
- ◆ *Our biggest issue today is the ability of our suppliers to keep up*
 - *We are placing 100 % of orders on time*
 - ◆ *(a year ago this was not the case even with a lesser production level).*
 - *The next step is Proactive Expediting to catch supplier delays before they hurt us*
- ◆ *Our Materials Department will achieve this next goal*



Actual Production vs Plan

actual vs projected gt

Actual Projected





Lost Opportunity

◆ DAC 110 (USAF)

- Our 802-329 with significant cost reductions
- ***Awarded to FMC in July***
 - ◆ ***They were at 10 % lower cost***
- Would have resulted in 45 units requiring delivery of 5 per month starting Jan 07

◆ ***This is a strong reminder that this market becomes more competitive each year and cost control is essential for survival***



Recent Wins

- ◆ Air Canada
 - Multi year contracts for ASU, ACU, Heaters including 400 ppm
- ◆ FEDEX 302s (68)
- ◆ USAF 302s (15)
- ◆ Continental Airlines (6) 802s and (4) 302s
- ◆ Spanish Market has exploded
 - (10) 802s, (15) GPU, (14) ASU,
- ◆ Lear Sigler 802-329s



ACE-302 Demand

- ◆ With the Fedex and upcoming USAF orders we need to reach a new level of production and productivity on this project
- ◆ In anticipation we have gone to a galvanized frame to eliminate the need to put the units into the final paint process
- ◆ We have also started a “Six Sigma” event to define Producibility improvements
 - A Cummins Engine Corporation “Black Belt” is facilitating this process
 - The goal is to reduce labor hours by 10-15%
- ◆ ***Input from the Shop Team is essential for the success of this project***



TLD-Group Info



◆ Shanghai Factory is rapidly evolving

- New office building is open
- Addition of multi lingual staff is now in place
 - ◆ Quality Assurance Manager
 - ◆ Engineering Manager
 - ◆ Materials Manager
 - ◆ Financial Controller
 - ◆ Product Support Manager
- **Baan** system has been installed
- Our Global Customers are rapidly discovering this enhanced TLD facility
- ***This insures more business to TLD-Windsor***



New Product Development

LSP, WSP



- ◆ ***3 Prototypes recently delivered***
- ◆ ***LSP-900 from Shanghai***
- ◆ ***LSP-900 from St Lin***
- ◆ ***the LSP-900-V from Windsor***
- ◆ ***Northwest Airlines demo scheduled for Mid November***
- ◆ ***Air Canada Demo to follow***
- ◆ ***It is important to continue to clean up the design and documentation***



New Product Development

LCU-015-CUP



- Upgraded LCU nearing completion
- Test Readiness Review Completed this week
- LMCO will visit for the start of test September 25
- EMI Testing starts October 9
- ***LMCO is a key Customer with potential for multiple future Aerospace products for TLD***



New Product Development

GPU-4180



- ◆ *A-380 Testing completed in August at the Airbus factory.*
- ◆ *TLD entry was the most successful participant.*
- ◆ *Continental Airlines will Demo unit in October.*
 - *Singapore Airlines also interested*

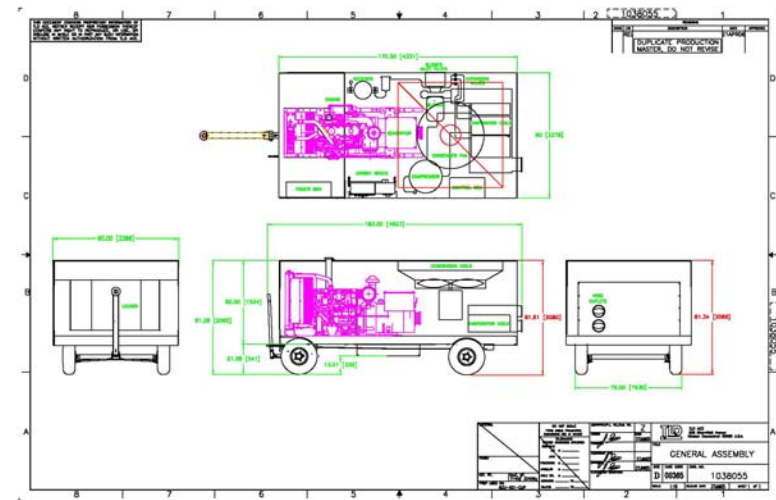


New Product Development *ACU-401*



◆ *Project is in Design phase*

- *Frame will soon hit the floor*
- *Factory Demo test for NGC is 14 December 2006*
- *Factory Demos planned also for USN, LMCO (JSF and F-22 programs)*



Key Quality Issues



- ◆ Fuel Tank contamination
- ◆ We have had an un- acceptable number of incidents in the last few months being caused by:
 - Excessive use of sealants
 - Foreign Objects and Debris (FOD)
- ◆ Fuel tanks must be *stored, assembled* and *inspected* properly
- ◆ ***Everyone must insure a clean system***



Employee Incentive Plan



- ◆ The next payout will be based on the results of 2006 and will be made at the end of this first QTR 2007
- ◆ The program, entering it's second year, will continue to ramp up from a partial level to a full ***potential*** level over 3 years.
 - (1/3 potential first year, ***2/3 second***, 3/3 third year)
- ◆ The payout is based on the companies performance as measured by our R.O.N.C.E.
 - Currently at **63%** year to date. (payout amount Cap is 25%)
 - High volume is the leading reason for our stronger performance this year
- ◆ The 2006 result to date are promising and if we keep on this track it can result in double last years payout
- ◆ To do so we will need to:
 - ***Increase our production through fall and winter and continue to improve efficiency***
 - ***Continue to control our costs***
 - ***Control our inventory very carefully***

Conclusion



- ◆ Our biggest challenge still is to meet our production requirements in order to not lose customers
- ◆ At the same time we must maintain Quality
- ◆ We must continue to increase the efficiency of the shop and all other departments.
 - E-tools
 - Workflow modules
- ◆ ***We must “make hay while the sun shines”***